LAURA NICOLAE

lauranicolae@g.harvard.edu
Cell 785-338-1188
www.lauranicolae.com

HARVARD UNIVERSITY

Littauer Center M-33	Placement Director: Myrto Kalouptsidi	myrto@fas.harvard.edu	617-496-0832
1805 Cambridge St	Placement Director: Oleg Itskhoki	itskhoki@fas.harvard.edu	617-495-2144
Cambridge MA 02138	Administrative Director: Brenda Piquet	bpiquet@harvard.edu	617-495-8927

Education

Harvard University
Ph.D., Business Economics, 2021 to 2027 (expected)
M.A., Business Economics, 2023
B.A., Applied Mathematics, *magna cum laude* with Highest Honors in Field, 2020

Fields

Financial Economics, Macroeconomics

References

Jeremy Stein
Littauer Center, 1805 Cambridge St
Cambridge, MA 02138
jeremy_stein@harvard.edu

Sam Hanson
Baker Library, Soldiers Field Road
Boston, MA 02163
shanson@hbs.edu

Gabriel Chodorow-Reich
Littauer Center, 1805 Cambridge St
Cambridge, MA 02138
chodorowreich@g.harvard.edu

Mark Egan
Baker Library, Soldiers Field Road
Boston, MA 02163
megan@hbs.edu

Adi Sunderam
Baker Library, Soldiers Field Road
Boston, MA 02163
asunderam@hbs.edu

Job Market Paper

Portfolio Substitution and the Effects of Bank Capital Regulation (Link)

Banks allocate their portfolios across different types of loans and securities. Many studies of bank capital regulation estimate how bank lending responds when regulation changes required equity for loans and other assets simultaneously. Evaluating counterfactual policies that impose a different pattern of regulatory penalties across assets than those observed in the data, such as changing an asset's risk weight, requires estimating an asset's supply response to its own regulatory cost, holding other assets' costs fixed. I develop a portfolio-allocation model and empirical method to estimate asset-level supply elasticities using changes in bank-level capital requirements that alter the equity requirements of different assets by different amounts. The model uses the fact that portfolio shares sum to one to separate each asset's response to its own regulatory cost from portfolio substitution. I recover positive supply elasticities for every asset category, with securities holdings responding more to regulatory costs than loans do. Applying these elasticities to post-crisis requirements, I ask whether capital regulation explains large banks' shift from lending to securities. Capital regulation accounts for about 28% of the aggregate shift toward securities and 35% of the cross-sectional convergence in large banks' average asset risk weights since 2011.

Publications

The Evolution of Banking in the 21st Century: Evidence and Regulatory Implications
with Samuel G. Hanson, Victoria Ivashina, Jeremy C. Stein, Adi Sunderam, and Daniel K. Tarullo.
Brookings Papers on Economic Activity, Spring 2024.

As revealed by the failures of three regional banks in the spring of 2023, bank runs are not a thing of the past. To inform the ongoing discussion of the appropriate regulatory response, we examine trends in the banking industry over the last twenty-five years. On the liability side of bank balance sheets, deposits—and especially uninsured deposits—have grown rapidly. On the asset side, there has been a notable shift away from the information-intensive lending traditionally associated with banks and towards longer-term securities such as MBS and long-term Treasuries. These trends appear to be related, in the sense that banks with the most rapid growth in deposits have seen the biggest declines in loans as a share of assets. Thus, while the banks that failed in early 2023 were

arguably extreme cases, they reflect broader trends, especially among larger banks. We construct a simple model to help assess the main regulatory options to reduce the risk of destabilizing bank runs—expanding deposit insurance and strengthening liquidity regulation— and argue that the industry trends we document favor the latter option. Using the model, we offer some design considerations for modifying the Liquidity Coverage Ratio so as to require banks to pre-position sufficient collateral—largely in the form of short-term government securities—at the Federal Reserve's Discount Window to ensure they have enough liquidity to withstand a run on their uninsured deposits. We also comment briefly on some other regulatory implications of our findings, including for interest rate risk regulation and merger policy.

Working Papers

The Effect of Inflation-Indexation on Employment: Evidence from Belgium
with Gert Bijnens (National Bank of Belgium), Helene Hall and Hugo Monnery (formerly Ph.D. Candidates, Harvard University)

In Belgium, nearly all employees' wages are indexed to inflation. Firms are grouped into longstanding labor agreements that determine the exact timing and frequency at which wages are indexed, e.g. every year versus every month. Using firm-level administrative data, we leverage the resulting variation in real wages across firms to estimate the employment response. We find that employment contracts by 0.4% over four quarters for each 1% increase in wages. This result is robust to including NACE sector-date fixed effects and to using only variation in firms' indexation timing, controlling for their chosen indexation frequency. About one-third of the response comes via anticipation of future wage increases. The elasticity is more than twice as large in magnitude in the post-pandemic period than before it, suggesting strong nonlinearities. Overall, these results show that, by preventing inflation from reducing real wages, inflation indexation reduces employment.

Fellowships & Awards

Humane Studies Fellowship, Institute for Humane Studies, 2025–2026
J. Robert Beyster Fellowship, Rutgers University, 2024
National Science Foundation, Graduate Research Fellowship, 2023
Paul and Daisy Soros Fellowship for New Americans, 2022
John T. Dunlop Prize (for top thesis in business and government), Harvard College, 2020
Thomas Temple Hoopes Prize (for exceptional theses), Harvard College, 2020
National Federal Reserve Challenge, 2nd place, 2017 and 2019
National Top Speaker, High School Policy Debate, National Speech and Debate Association. 2016

Teaching

The Financial System and the Central Bank, Harvard College, Professor Jeremy Stein, 2024
Managing and Innovating in Financial Services, Harvard Business School, Professor David Scharfstein, 2024
Low Interest Rates, Secular Stagnation and Macroeconomic Policy, Harvard College, Professor Lawrence Summers, 2020
Intermediate Macroeconomics, Harvard College, Professor Christopher Foote, 2020
Advanced Econometrics, Harvard College, Professor Elie Tamer, 2019

Employment

Federal Reserve Board of Governors (Supervision & Regulation), Ph.D. intern, 2023–2025
Goldman Sachs, U.S. Economics Research Summer Ph.D. Associate (Jan Hatzius), 2022
Goldman Sachs, U.S. Economics Research Analyst (Jan Hatzius), 2020–2021

Research Assistance

Research Assistant for Professor Kenneth Rogoff, Harvard University, 2020
Research Assistant for Professor Lawrence Summers, Harvard University, 2018–2020

Academic Service

Referee: *Quarterly Journal of Economics*, *AER Insights*
Mentorship: Harvard College Federal Reserve Challenge team; Charles River Economic Labs (Harvard College Economics consulting club); Harvard and MIT Application Assistance and Mentoring Program

Languages

English (native); Romanian (native); Spanish (fluent); French (proficient); Portuguese (intermediate); Mandarin Chinese (beginner)

Software Skills

Python, Stata, Matlab, R, EViews

Citizenship

United States, European Union (Romania)